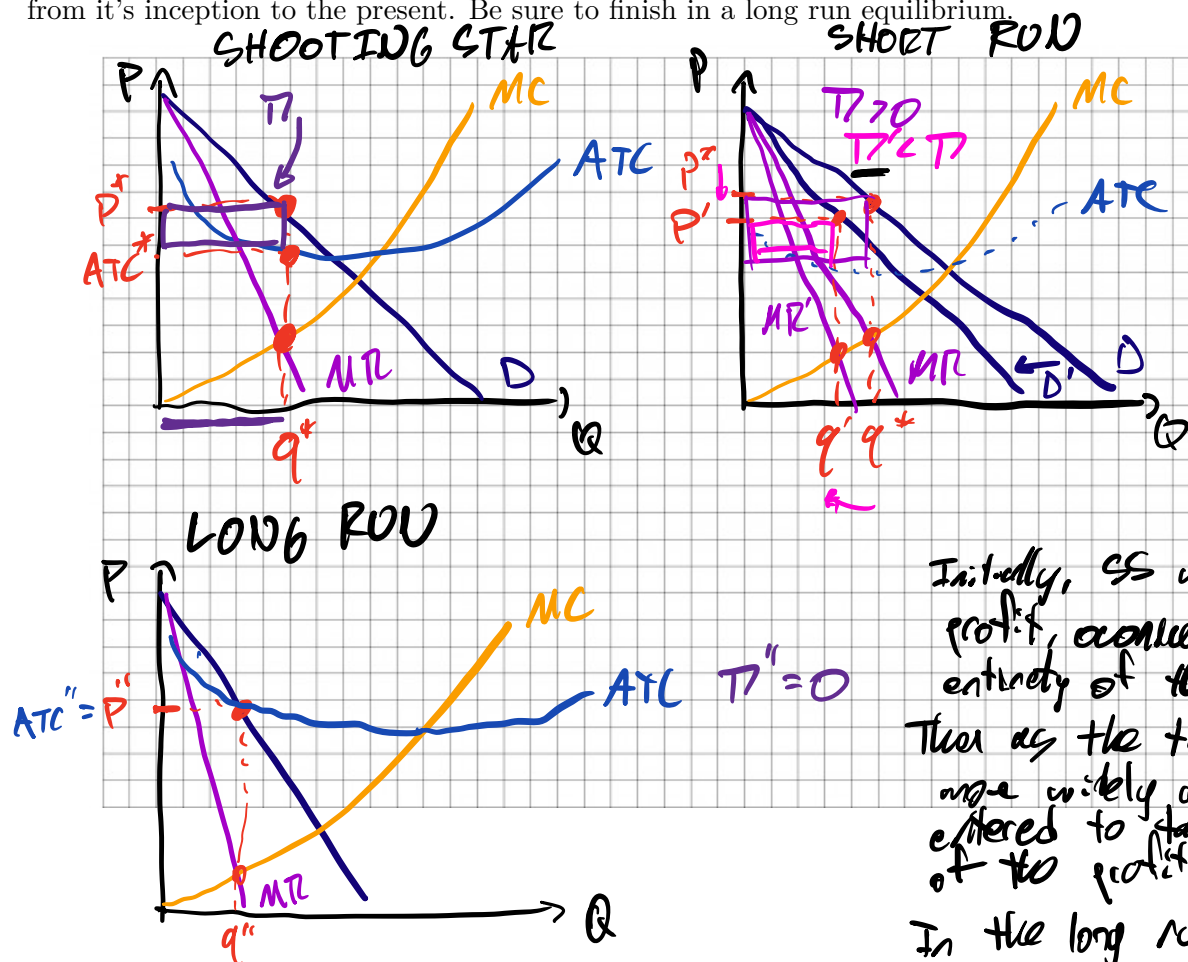


Honors Intro Micro | Homework 5 Demo

Question 1 | The History of the Broomstick Market

In the early days of magical sporting and transportation, Shooting Star was the first broomstick maker to enter the market. They developed a proprietary method for autolocomotion and held the entirety of the market. As their technological secrets began disseminating among the wizarding world, many broomstick makers began producing broomsticks with slightly different handling and acceleration characteristics. Today, few if any new broomstick makers had opened.

Using a graph to illustrate your answer, tell the story of the evolution of the broomstick market from its inception to the present. Be sure to finish in a long run equilibrium.



Initially, SS made a profit, owning the entirety of the market. Then as the tech became more widely available, firms entered to take advantage of the profit. In the long run, firms made zero profit.

$$q^* > q' > q''$$

$$\pi^* > \pi'' = 0$$